
Student Number

St Ignatius' College
Riverview

2022

HIGHER
SCHOOL
CERTIFICATE
ASSESSMENT TASK 1
Topic Test

Business Studies

Task 1

Task Results

Section	Max Marks	Cohort Average
Multiple choice	10	8.1
Question 11	10	6.1
Question 12	10	7.4
Question 13	10	6.7
Total	**40**	**28.3**

Section 1 : Multiple Choice Answers

Question	Answer
1	B
2	D
3	A
4	B
5	A
6	C
7	D
8	B
9	D
10	C

Question 11 (10 Marks)

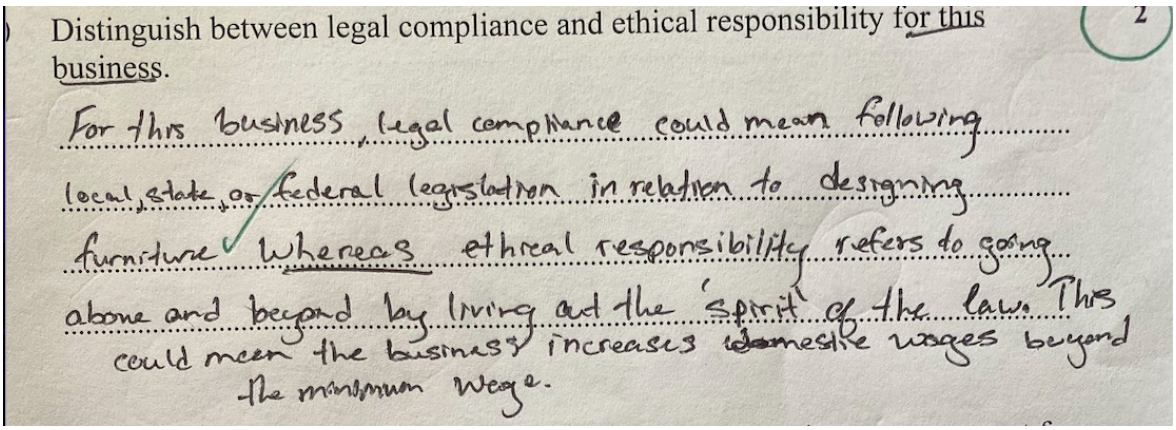
(a) Distinguish between legal compliance and ethical responsibility for this business.

Criteria	*Marks*
Recognise the distinct difference between legal compliance and ethical responsibility for Functional Furniture using a clear term such as whereas. Specific example relevant to stimulus.	2
Makes a comment about legal compliance and/or ethical compliance.	1

Answer could include:

- Legal compliance involves making sure that the laws and regulations relating to the operation of a business are strictly observed. For example, the Work Health and Safety Act (2011) or the Environment Protection and Biodiversity Conversation Act (1999)
- Ethical responsibility in operations management is where managers understand value systems and morality or what is "right" and "wrong" with regards to the production of goods and services. Going above and beyond the letter of the law.
- Examples for Functional Furniture include sourcing sustainable inputs, paying workers above the minimum wage or reducing the amount of waste produced by the production of wood for custom-made furniture by reusing off-cuts.

Exemplar


Distinguish between legal compliance and ethical responsibility for this business. 2

For this business, legal compliance could mean following local, state, or federal legislation in relation to designing furniture. Whereas ethical responsibility refers to going above and beyond by living out the 'spirit' of the law. This could mean the business increases domestic wages beyond the minimum wage.

(b) Explain how TWO performance objectives impact operations management for this business.

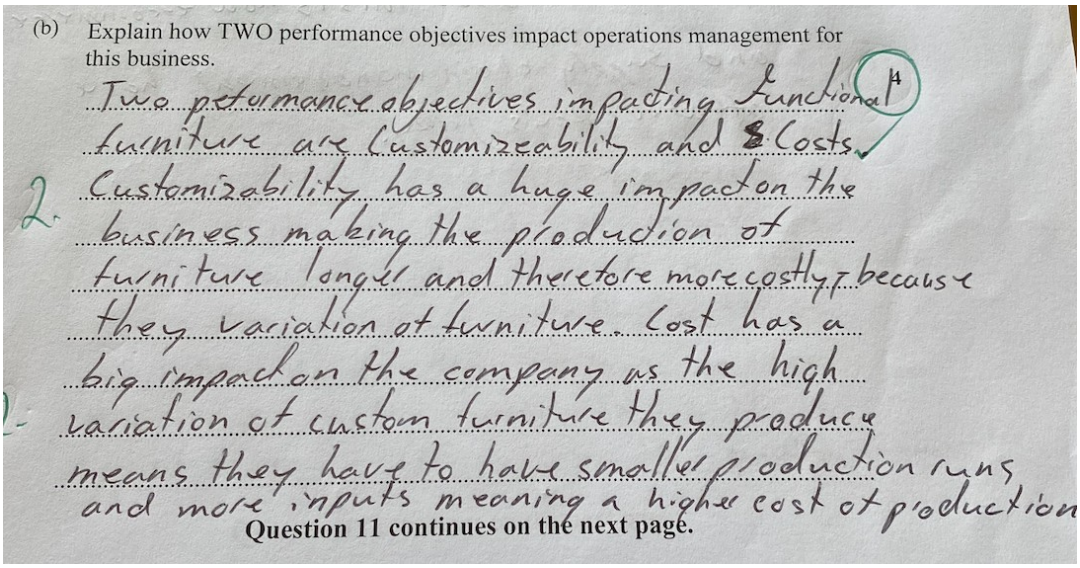
Criteria	*Marks*
Relates cause and effect of how TWO performance objectives impact operations management for Functional Furniture.	4
Relates cause and effect of how ONE performance objective impacts operations management for Functional Furniture AND provides characteristics and features for the other.	3
Relates cause and effect of how ONE performance objective impacts operations management for Functional Furniture OR sketches in general terms performance objectives that impact operations management of this business.	2
Recognises and names performance objective/s that impact	1

operations management for this business.	

Answer could include:

- *Costs – finding cheaper suppliers, custom-made furniture increases costs, with increased quality costs increased, costs can improve by making production processes more efficient*
- *Quality – improving quality through custom-made furniture by fulfilling customer needs and expectations; having advanced features, reliability, durability and ease of service*
- *Dependability – the reliability of the furniture, making the furniture work consistently through custom-made production process, durability of the furniture*
- *Speed – process of setting lead time targets for custom-made furniture production, improving speed through the introduction of new technology, skilled workers or redesigning plant layout to reduce time taken to produce furniture*
- *Customisation – the business is making custom-made furniture, so it needs to ensure the variety provided appeals to the needs of the customers/different markets. Example, through types of wood, design, colour, size, etc.*
- *Flexibility – not relevant*

Exemplar



(b) Explain how TWO performance objectives impact operations management for this business.

Two performance objectives impacting furniture are Customizeability and Costs. 4

2. Customizability has a huge impact on the business making the production of furniture longer and therefore more costly, because they variation of furniture. Cost has a big impact on the company as the high variation of custom furniture they produce means they have to have smaller production runs and more inputs meaning a higher cost of production

Question 11 continues on the next page.

(c) With reference to a business you have studied, explain how e-commerce and global sourcing have been used to improve their supply chain management.

Criteria	*Mark*
Provides cause and effect in a case study addressing how e-commerce and global sourcing have been used to improve supply chain management.	4
Provides characteristics and features in a case study address e-commerce AND global sourcing have been used to improve supply chain management.	3
Provides theoretical cause and effect addressing how e-commerce AND/OR global sourcing has been used to improve supply chain management.	2
Makes a relevant statement about e-commerce and/or global sourcing in improving supply chain management.	1

Answer could include

- E-commerce or electronic commerce is business conducted on the internet. It has serious impacts of SCM because it provides information about the availability of quantities of materials and ready sources for supplies. An important part of SCM is the collection, transmission and storage of data and this has been made easier through the use of e-commerce.
    - Benefits include cost savings, efficiency due to connectedness with global markets (sourcing inputs more quickly), speed, availability of information, easier management of data and flexibility.
- Global sourcing is an operations strategy where a business will acquire the inputs it needs for production across the borders of several countries.
    - Satisfies the performance objectives of speed, quality, dependability, customisation, flexibility and cost
    - Benefits include lower costs (suppliers around the world are more competitive) and can improve quality of supply chain (more choice)
- Students must integrate relevant case studies which cover both e-commerce and global sourcing. Examples include:
    - GE a diversified technology, media and financial services company which developed a trading process network, an automated web-based purchasing system which cut average purchasing costs by half. Much larger group of suppliers to bid for jobs, customers can track orders in real-time

Teacher Notes: Students who just stated that ecommerce is the use of the internet and then wrote that a business has an online store, is not sufficient. How does the use of ecommerce IMPROVE supply chain management, stating what is happening is not enough for an explain (cause and effect).

Exemplar on next page

Exemplar

(c) With reference to a business you have studied, explain how e-commerce and global sourcing have been used to improve their supply chain management. 4

E-commerce is ~~the~~ commercial transactions conducted electronically. For example, Koala ~~is~~ is an Australia business ~~was~~ who do not have any instore locations but through ~~to~~ use of ecommerce have improved their supply chain managment. Koala integrates carrier shipping services directly to it's website hence allowing direct syning to suppliers, offering ~~it~~ low shipping. Global Sourcing is to process of ~~aqu~~ aquiring transformed resources by offshoring. ~~CM is a~~ For example CM is a cricket bat manufacturing ~~co~~ business who through the use of aquiring materials in various countries, has improved its supply chain managment. ~~Their~~ their Their use of Global sourcing results in ~~the~~ the improving in logistics, offering swift shipping to various countries by holding stock in a variety of countries.

End of Question 11

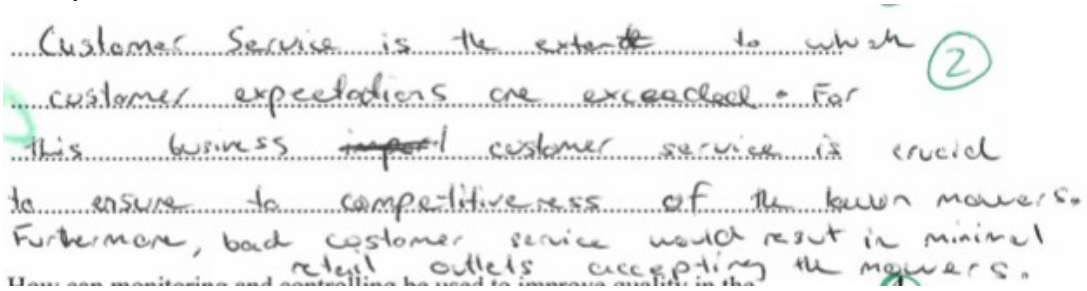
Question 12 (10 Marks)
Magic Mowers Pty Ltd are an Australian manufacturing business that produces lawn mowers. These lawn mowers are then supplied to retail outlets.

(b) Outline the importance of customer service for this business.

Criteria	*Marks*
Sketches in general terms the importance of customer service for this business.	2
Names and recognises some aspects of the importance of customer service for this business	1

Answer could include
Customer Service: is the actual service provided by the business to their customers. For this business it is important for the manufacturing business to have high customer service to allow the retail customers to have the necessary information to be to be able to provide customers information about the Magic Mower products.

Exemplar


Customer Service is the extent to which customer expectations are exceeded. For this business ~~impact~~ customer service is crucial to ensure to competitiveness of the lawn mowers. Furthermore, bad customer service would result in minimal retail outlets accepting the mowers.
How can monitoring and controlling be used to improve quality in the

Markers comments
Students did not read the stimulus properly with this question and identify that the lawn mowing company was needing to provide customer service to the retail outlets. This impacted many students receiving 2/2.

(c) How can monitoring and controlling be used to improve quality in the operations management of this business?

Criteria	*Marks*
Clearly relates cause and effect of monitoring and controlling used to improve quality in the operations management for this business.	4
Relates cause and effect of monitoring and controlling used to improve quality in the operations management for this business.	3
Sketches in general terms monitoring and controlling used to improve quality in the operations management for this business OR relates cause and effect of monitoring or controlling used to improve quality in the operations management for this business	2
Sketch in general terms some aspects of monitoring or controlling used to improve quality in the operations management for this	1

business	

Answer could include
Monitoring: to obtain data about the performance level or quality of a particular process being conducted within the key business function
Controlling: Once the data is available through the monitoring phase, in the control phase that data for actual performance is compared to the plan for the metric or variable and a decision as to whether corrective action is taken.
Examples of reference to stimulus:

- E.g. defect rate
- Quantity of lawn mowers
- Production capacity

Markers comments
Students did not properly define the concepts of monitoring and controlling which impacted their ability to answer the questions. In addition, the integration of stimulus could have been better when answering this question.

Exemplar

(b) How can monitoring and controlling be used to improve quality in the operations management of this business? (4)

Monitoring is the process of obtaining quantitive data based of the business objectives. For this business, monitoring would result the business being able to monitor the defect rate of their lawnmowers. Furthermore, the business could also monitor the warranty claims to make improvment to quality. Controlling is the process of comparing actual data to Planned proposed data and taking corrective action. Therefor, the business could take its monitoring data of defects and warranties, take corrective action. Therfore, this would result in minimising defects and warranty claims, hence improving ~~qual~~ quality. ✓ (4)

Question 12 continues on the next page.

6

(c) Identify the duration of the current critical path for this business

Criteria	*Marks*
Correctly names and recognises the duration of the critical path analysis for this business.	1

Answer could include
24 hours

(d) How could the use of a critical path analysis improve operations for this business?

Criteria	*Marks*
Clearly relates cause and effect of the impact of improving C to G by 2 hours on the on the critical path analysis for this business.	3
Relates cause and effect of the impact of improving C to G by 2 hours on the on the critical path analysis for this business.	2
Clearly relates cause and effect of the impact of improving C to G by 2 hours on the on the critical path analysis for this business.	1

Answer could include
Critical path analysis is a tool used in the transformational process of scheduling and sequencing. A visual analysis of interdependencies of tasks in a project to determine the critical path which is the path on which if there is a delay the entire project will be delayed. The shortest time to complete the project is the longest path identified in a critical path analysis.

- Reduce/improve lead times – e.g. C-D reduction as an improvement in efficiencies
- Identify areas that will improve the operational efficiencies
- Result in more competitiveness – improved efficiencies etc.
- Other answers were accepted at teachers descretion

Markers comments
This question was generally done quite well. There were some issues with students not knowing how to answer a “How” question and a lack of stimulus integration in part b.

Exemplar on next page

Exemplar

(c) Identify the duration of the current critical path for this business

24 hours ✓

(d) How could the use of a critical path analysis improve operations for this business?

(3)

↑ efficiency
↓ lead times

The ~~name~~ critical path analysis can be used to increase efficiency and reduce lead times. The critical path refers to the the shortest time taken for all stages of the critical path to be completed (calculated by calculating the longest time) ✓ The benefits of the critical path is that it allows Magic Mowers to visually identify the operations process for producing lawn mowers and the business may be able to identify stages where they could improve their efficiency (for example Stage C and G) which would consequently reduce lead times, thereby improving operations for this business. ✓

(3)

Question 13 (10 Marks)

Aussie T Shirts Pty Ltd is an Australian based manufacturer of clothing that has been producing these items from their Sydney factory for over 50 years. Recently they have lost several major long term supply contracts with large retailers. The feedback from these retailers was that their products were too expensive relative to other global suppliers.

(a) Explain TWO influences on operations that are currently having a negative impact on Aussie T Shirts. (4 marks)

Criteria	*Marks*
Demonstrates a cause and effect relationship between TWO influences on operations and the negative impact on Aussie T-Shirts.	4
Demonstrates a cause and effect relationship between ONE influence on operations and the negative impact on Aussie T-Shirts and sketches in general terms the other influence and the negative impact.	3
Demonstrates a cause and effect relationship between ONE influence on operations and the negative impact on Aussie T-Shirts OR sketches in general terms TWO influences and their negative impacts.	2
Sketches in general terms ONE influence on operations and the negative impact on operations.	1

Answer could include

- *Globalisation, Cost based competition, Technology (or rather lack thereof), Legal (minimum wage, environmental regulations)*

Markers comments

Overall, this question was very well done. Many students were successfully able to detect and recall appropriate syllabus influences from the stimulus. Some students are still learning to address the NESA term “explain” to an appropriate depth of cause-and-effect argument. Of these students, the majority were guilty of providing a sketch in general terms “common sense” type answer that lacked the terminology and causation required to achieve full marks.

Exemplar on next page….

Exemplar

(a) Explain TWO influences on operations that are currently having a negative impact on Aussie T Shirts. **4**

The influence of Cost-based competition is affecting the business as they are receiving a loss in sales due to retailers purchasing from cheaper suppliers. This will require Aussie T-shirts operations management to engage in greater cost leadership ie- cost minimisation and achieving economies of scale, in order to be more cost competitive. Furthermore globalisation; the removal of trade barriers and rise of the global economy, is affecting this business as they have recently found more international competitors in their previously controlled market. Therefore Aussie T-shirts has lost market share as global competitors have access to cheaper labour, materials and buer compliance costs.

Question 13 continues on the next page.

Aussie T-shirts management may have to implement global sourcing in order to compete with global competitors, as they currently are not accessing benefits of operating on a global scale such as buer material and labour prices.

Aussie T Shirts plan to respond to these challenges by introducing technology in their production processes which management is hesitant to implement.

(b) Propose how the introduction of technology into the production process could lead to both benefits and challenges for the management at Aussie T Shirts.

Criteria	*Marks*
Puts forward a detailed argument for consideration in relation to the introduction of technology into the production process could lead to both benefits and challenges for Aussie T Shirts	6
Puts forward an argument for consideration in relation to the introduction of technology into the production process could lead to both benefits and challenges for Aussie T Shirts	5
Provides characteristics and features as to how the introduction of technology into the production process could lead to both benefits and challenges for Aussie T Shirts	4
Sketches in general terms how the introduction of technology into the production process could lead to benefits and/or challenges for Aussie T Shirts	3
Sketches in general terms how technology could impact the production process.	2
Provides some relevant information	1

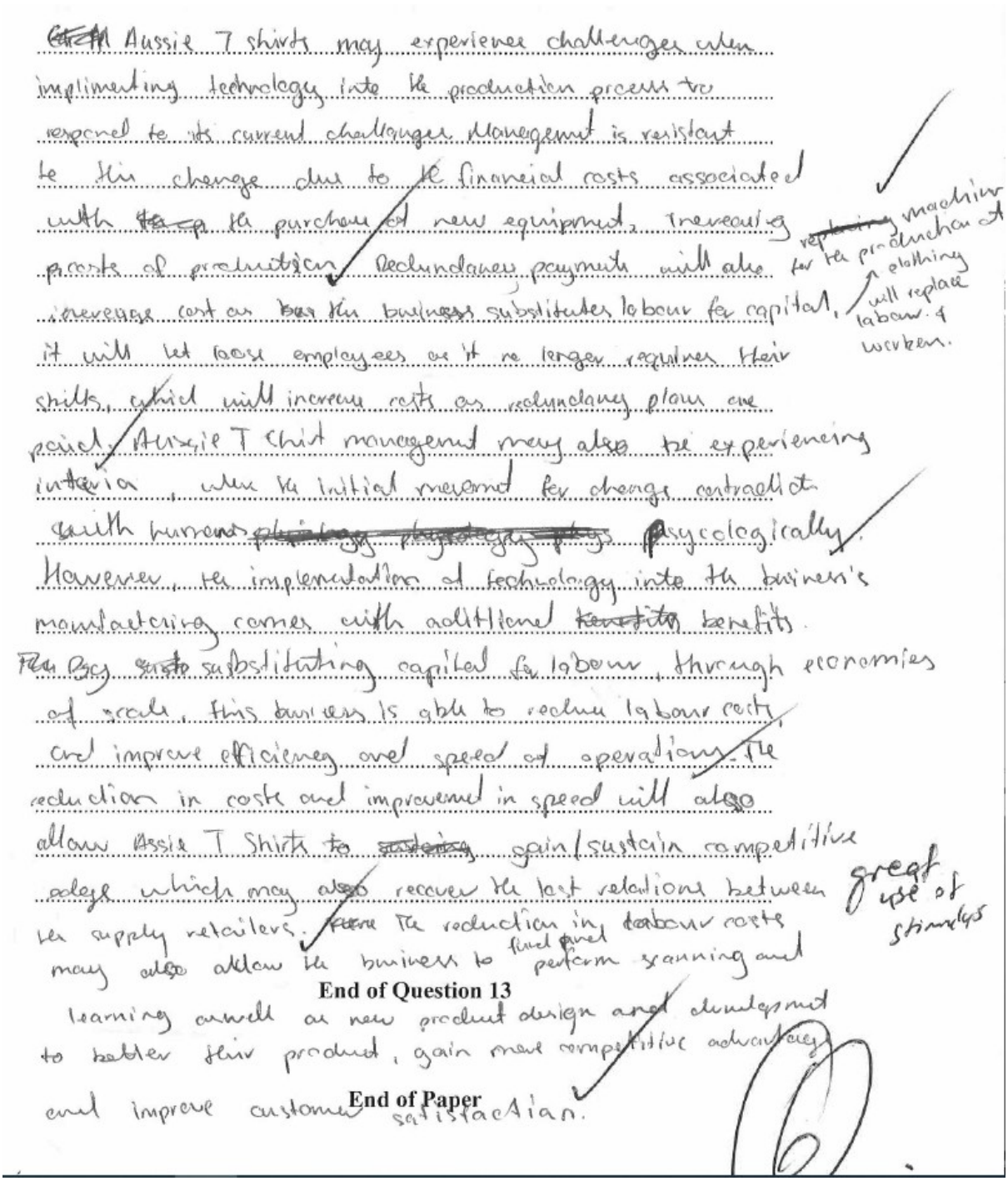
Answer could include

Benefits	Challenges
Economics of scale Reduction in staffing costs over the longer term Increased volume Increased quality Increased speed Compete with global competitors	Redundancy payments Retraining Reorganising the plant layout Financial costs – expensive upfront Inertia

Marker's comments

This question was generally answered well. Most students could list various benefits and challenges associated with the introduction of technology into the Aussie T Shirts business. Fewer students made the connection between the management hesitancy in the stimulus and the resistance to change content in the syllabus as being the hint towards the challenges being faced. Many students gave answers that were generic in nature, and didn't actually go to the heart of the question. If Aussie T Shirts are planning to introduce technology in "**response to these challenges"** (which was essentially being unable to compete on cost), then is there going to be a direct benefit on cost reduction to allow them to win back the contracts that they lost?

Exemplar



Aussie T shirts may experience challenges when implementing technology into the production process to respond to its current challenges. Management is resistant to this change due to the financial costs associated with the purchase of new equipment, increasing ~~replacing~~ machine for the production of clothing costs of production. Redundancy payouts will also increase cost as the business substitutes labour for capital, will replace labour & it will let loose employees as it no longer requires their workers. skills, which will increase costs as redundancy plans are paid. Aussie T shirt management may also be experiencing inertia, when the initial reward for change contradicts with current ~~philosophy, strategy, etc~~ psychologically. However, the implementation of technology into the business's manufacturing comes with additional ~~benefits~~ benefits. By substituting capital for labour, through economies of scale, this business is able to reduce labour costs, and improve efficiency and speed of operations. The reduction in costs and improvement in speed will also allow Aussie T Shirts to ~~sustain~~ gain/sustain competitive edge which may also recover the lost relations between the supply retailers. ~~There~~ The reduction in labour costs may also allow the business to fixed and perform scanning and learning as well as new product design and development to better their product, gain more competitive advantage and improve customer satisfaction.

great use of stimulus

End of Question 13

End of Paper